

Third Quarter 2018

Earnings Conference Call

November 6, 2018



Safe Harbor Statement

Some of our comments constitute forward-looking statements that reflect management's current views and estimates of future economic circumstances, industry conditions, Company performance and financial results.

These statements are based on many assumptions and factors that are subject to risk and uncertainties. ADM has provided additional information in its reports on file with the SEC concerning assumptions and factors that could cause actual results to differ materially from those in this presentation, and you should carefully review the assumptions and factors in our SEC reports.

To the extent permitted under applicable law, ADM assumes no obligation to update any forward-looking statements as a result of new information or future events.

Strategic Accomplishments



OPTIMIZE The Core

- Good risk management in South America Origination; YTD results substantially higher than 2017
- Continued optimization of US Origination footprint
- Monetized Agrible investment
- Bolivian divestiture



DRIVE Efficiencies

- Operational excellence run-rate cost savings of more than \$200M YTD, meeting target for full year



EXPAND Strategically

- Origination: Digital, innovation partnerships
- Oilseeds: Algar Agro
- Carbohydrate Solutions: Additional industrial starch capacity; state-of-the-art Enid flour mill
- Nutrition: Rodelle, Protexin, Shanghai innovation center



READINESS

Q3 2018 Financial Highlights

(Amounts in millions except per share data and percentages)

	Quarter Ended Sept. 30		
	2018	2017	Change
Adjusted earnings per share ^{(1) (2)}	\$0.92	\$0.45	\$0.47
Adjusted segment operating profit ^{(1) (3)}	\$861	\$541	\$320
Trailing 4Q average adjusted ROIC ⁽¹⁾	8.3%	6.4%	+190bps
Annual adjusted EVA ⁽¹⁾	\$546	\$98	+\$448
Effective tax rate	15%	13%	

(1) Non-GAAP measures - see notes on page 24

(2) See earnings per share, the most comparable GAAP measure, on page 18

(3) See segment operating profit as reported on page 5

Segment Operating Profit and Corporate Results

	Quarter Ended Sept. 30		
	2018	2017	Change
<i>(Amounts in millions)</i>			
Total Segment Operating Profit⁽¹⁾	\$ 881	\$ 485	\$ 396
Specified items:			
(Gains) loss on sales of assets and businesses	(21)	(12)	(9)
Impairment and restructuring charges	1	63	(62)
Hedge timing effects	—	5	(5)
Adjusted Segment Operating Profit⁽¹⁾⁽²⁾	\$ 861	\$ 541	\$ 320
Origination	\$ 129	\$ 39	\$ 90
Merchandising & Handling	93	25	68
Transportation	36	14	22
Oilseeds	\$ 349	\$ 113	\$ 236
Crushing & Origination	221	36	185
Refining, Packaging, Biodiesel, and Other	48	61	(13)
Asia	80	16	64
Carbohydrate Solutions	\$ 288	\$ 300	\$ (12)
Starches & Sweeteners	245	251	(6)
Bioproducts	43	49	(6)
Nutrition	\$ 67	\$ 68	\$ (1)
Wild Flavors and Specialty Ingredients	80	59	21
Animal Nutrition	(13)	9	(22)
Other	\$ 28	\$ 21	\$ 7
Total Segment Operating Profit⁽¹⁾	\$ 881	\$ 485	\$ 396
Corporate	\$ (249)	\$ (260)	\$ 11
Interest expense – net	(80)	(72)	(8)
Unallocated corporate costs	(161)	(109)	(52)
Other charges	(4)	(24)	20
Specified items:			
LIFO credit (charge)	(7)	—	(7)
Adjustments related to acquisitions	4	—	4
Loss on debt extinguishment	—	(11)	11
Restructuring charges	(1)	(44)	43
Earnings Before Income Taxes	\$ 632	\$ 225	\$ 407

⁽¹⁾ Non-GAAP measure - see notes on page 24; ⁽²⁾ Adjusted segment operating profit equals total segment operating profit excluding specified items and timing effects.



Balanced Use of Cash Between Investments and Return of Capital to Shareholders

(Amounts in millions)

	Nine Months Ended Sept. 30	
	2018	2017
Cash from operations before working capital changes	\$1,906	\$1,600
Changes in working capital ⁽¹⁾	(173)	555
Purchases of property, plant and equipment	(555)	(696)
Net assets of businesses acquired	(324)	(187)
Sub-total	854	1,272
Marketable securities investment	—	73
Other investing activities	41	(123)
Debt increase/(decrease)	432	227
Dividends	(568)	(544)
Stock buyback	—	(676)
Other	32	4
Increase (decrease) in cash, cash equivalents, restricted cash, and restricted cash equivalents	\$791	\$233

⁽¹⁾ Includes the change in deferred consideration of (\$5,413) million in 2018 and (\$5,404) million in 2017 and the net proceeds from retained interest in securitized receivables of \$5,413 million in 2018 and \$5,404 million in 2017 which are presented separately as operating activities and investing activities, respectively, in the statement of cash flows as required by ASU 2016-15 which took effect 1/1/18.

Maintained Solid Balance Sheet

(Amounts in millions)

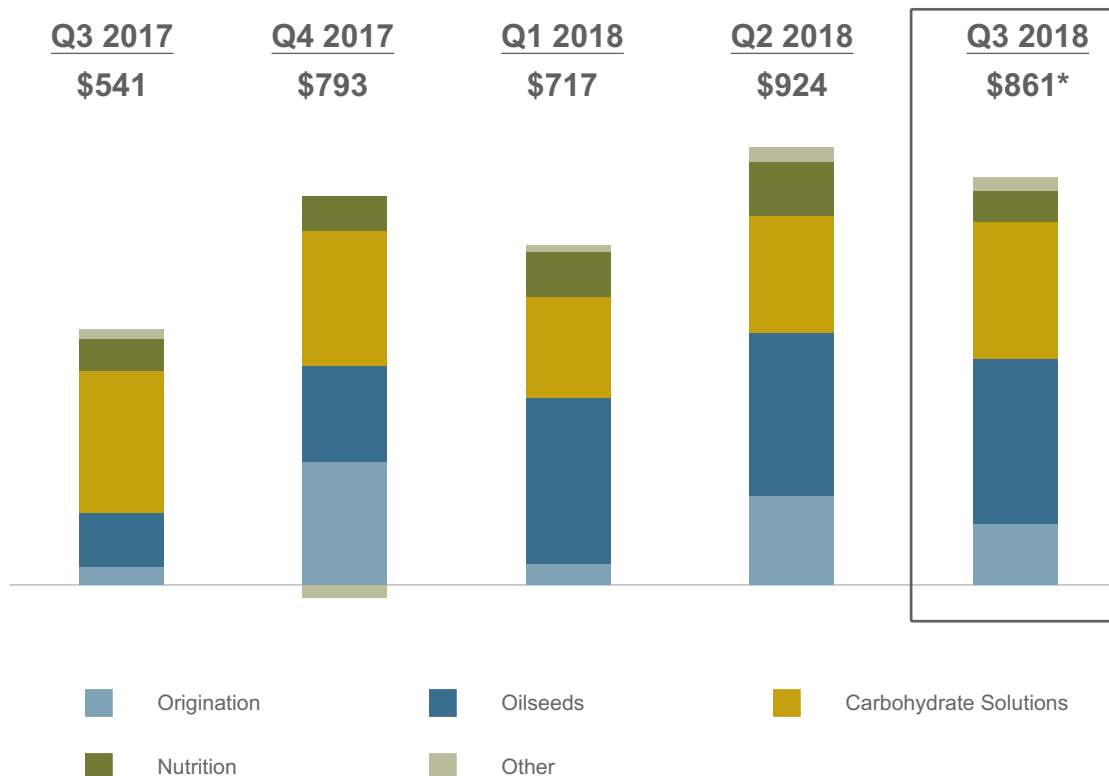
	Sep. 30, 2018	Sep. 30, 2017
Cash⁽¹⁾	\$915	\$779
Net property, plant, and equipment	9,885	9,956
Operating working capital⁽²⁾	8,024	7,229
- Total inventories	8,483	8,326
Total debt	7,852	7,336
- CP outstanding	385	590
Shareholders' Equity	19,000	17,577
Memos:		
Available credit capacity September 30		
- CP	\$4.6 bil	\$3.4 bil
- Other	\$2.2 bil	\$1.4 bil
Readily marketable inventory	\$5.4 bil	\$5.3 bil
Diluted Shares Outstanding (in millions)	563	566
Net Debt to Total Capital Ratio	27%	27%

⁽¹⁾Cash = cash and cash equivalents and short-term marketable securities

⁽²⁾Current assets (excluding cash and cash equivalents and short-term marketable securities less current liabilities (excluding short-term debt and current maturities of long-term debt)

Adjusted Segment OP of \$861 million, Up Almost 60%

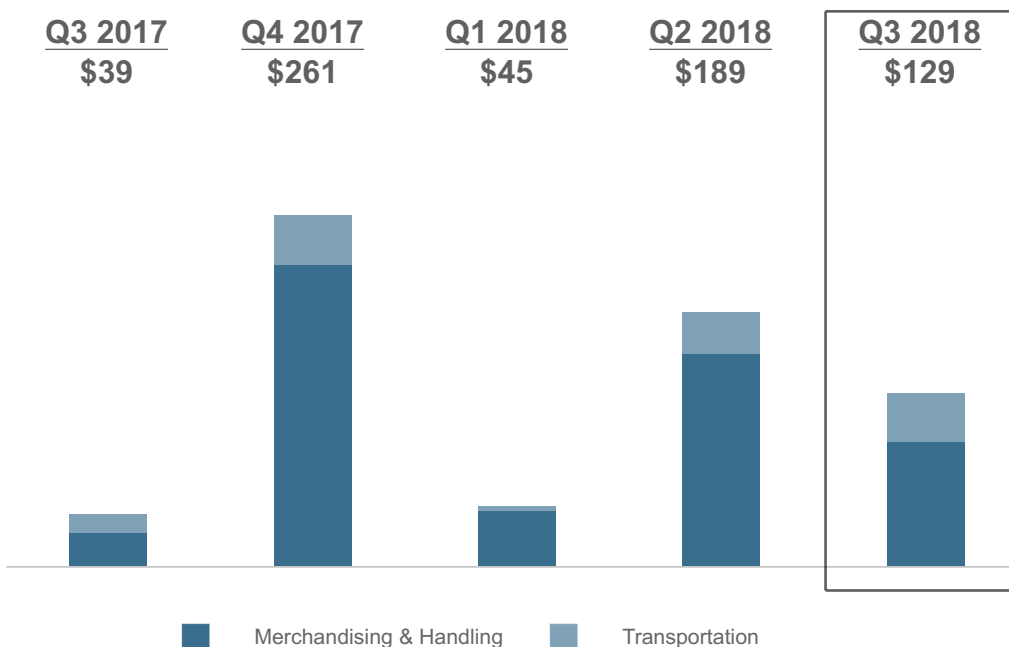
Adjusted segment operating profit (in millions)
Excludes specified items and timing effects



*Segment operating profit as reported was \$881M

Origination: Up Substantially Across All Major Businesses

Segment operating profit (in millions)



- Managed well through volatile price environment
- Capitalized on asset base to deliver higher volumes and margins
- Global Trade executed well, utilizing global assets and destination marketing capabilities

Oilseeds: Another Strong Quarter

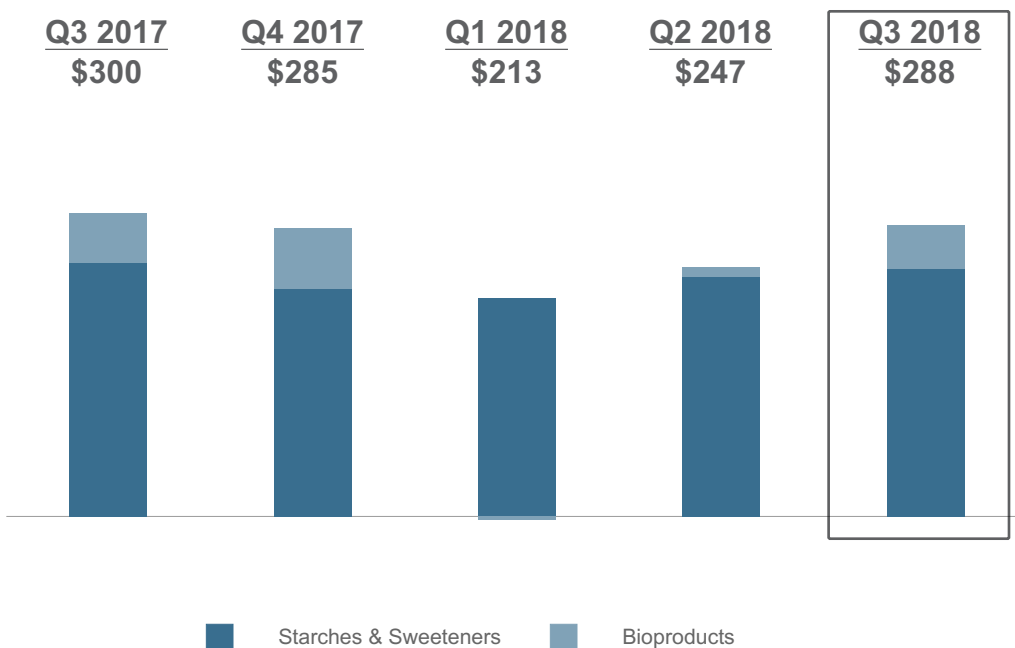
Segment operating profit (in millions)



- C&O capitalized on strong global asset base, setting all-time record crush volume; soy crush major driver of results
- Higher biodiesel results and continued good edible oils performance in RPBO, offset by peanut shelling
- Asia up on Wilmar results

Carbohydrate Solutions: S&S Solid, Ethanol Headwinds

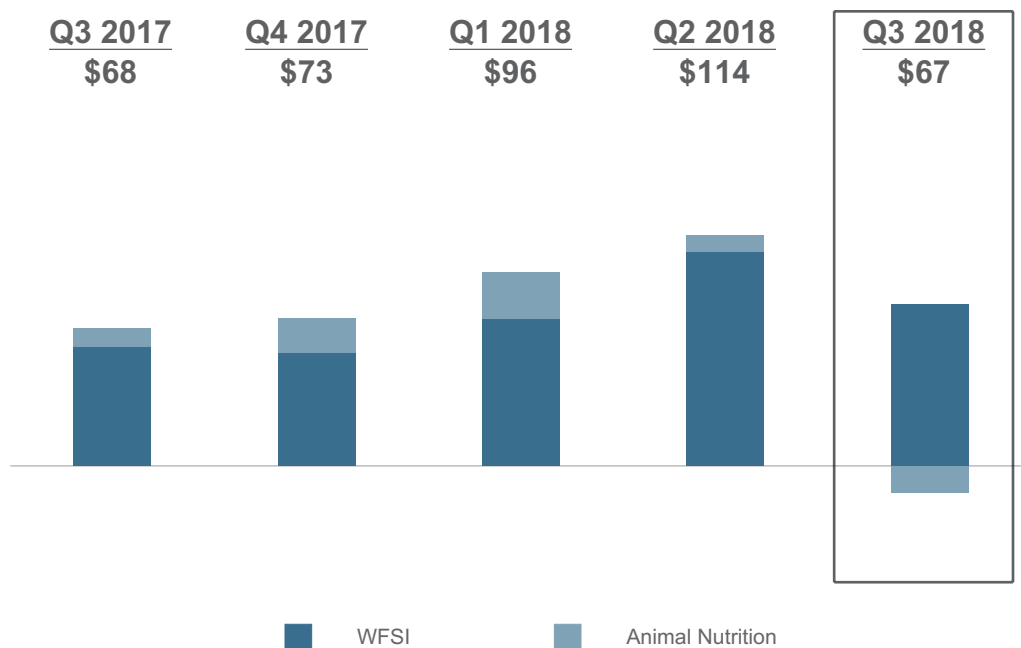
Segment operating profit (in millions)



- S&S delivered solid results, slightly below strong Q3 2017; NA liquid sweeteners delivered good margins and volumes
- Bioproducts down; managed risk well in extremely weak ethanol industry margin environment
- Decatur plant downtime impacted results

Nutrition: Strong WFSI, Weakness in Lysine

Segment operating profit (in millions)



- **WFSI significantly higher YOY:** Revenue up 10% on constant currency basis, profit up more than 30%; strength across portfolio
- Completed Rodelle and Protexin acquisitions
- Lysine production issues

Growth Benefits Accelerating in 2019 and Beyond



6

New Plants



5

Innovation Centers
and Labs



17

Acquisitions



4

Joint Ventures

**More than \$5 billion invested in growth projects since 2014;
Full impact of recent investments coming in 2019 and 2020**

Accelerating Readiness

OPTIMIZE
The Core



DRIVE
Efficiencies



EXPAND
Strategically



READINESS



Diligence ► Planning ► Implementation

Upcoming Investor Events

Baird's 2018 Global Industrial Conference

Chicago, IL

November 7

Stephens Investment Conference

New York, NY

November 8

Appendix

GAAP Statement of Earnings Summary

(Amounts in millions except per share data)

	Quarter Ended Sept. 30		
	2018	2017	Change
Revenues	\$15,800	\$14,827	\$973
Gross profit	1,058	812	246
Selling, general and administrative expenses	534	478	56
Asset impairment, exit, and restructuring charges	1	107	(106)
Equity in (earnings) losses of unconsolidated affiliates	(131)	(46)	(85)
Interest income	(40)	(27)	(13)
Interest expense	87	79	8
Other (income) expense – net	(25)	(4)	(21)
Earnings before income taxes	632	225	407
Income tax expense (benefit)	96	30	66
Net earnings including noncontrolling interests	536	195	341
Less: Net earnings (losses) attributable to noncontrolling interests	—	3	(3)
Net earnings attributable to ADM	\$ 536	\$ 192	\$ 344
Earnings per share (fully diluted)	\$ 0.94	\$ 0.34	\$ 0.60

Adjusted Earnings Per Share (EPS)

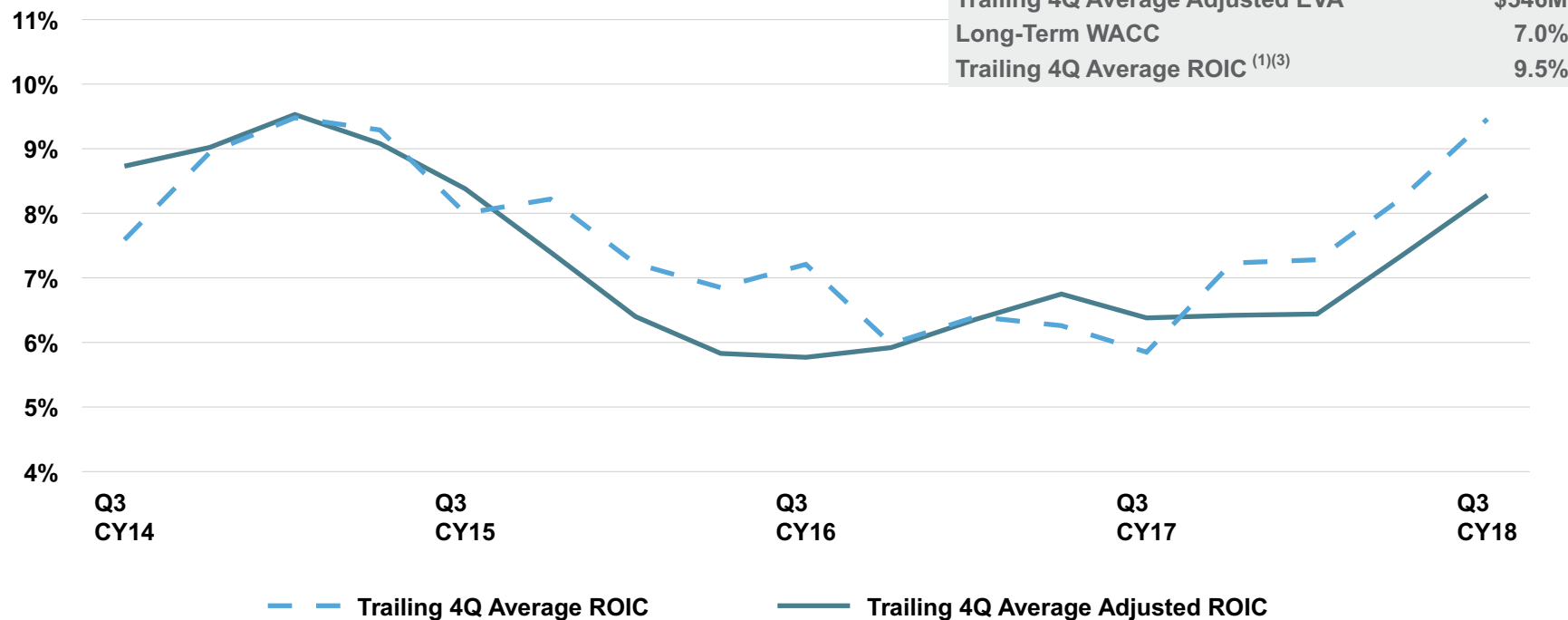
(Amounts in millions except per share data)

	Quarter Ended Sept. 30					
	2018			2017		
	Pre-tax	After-tax	Per share	Pre-tax	After-tax	Per share
Earnings and EPS (fully diluted) as reported	\$ 632	\$ 536	\$ 0.94	\$ 225	\$ 192	\$ 0.34
<u>Adjustments</u>						
LIFO (credit)/charge	7	5	0.01	—	—	—
(Gains) loss on sales of assets	(21)	(20)	(0.04)	(12)	(10)	(0.02)
Impairment, restructuring, and settlement charges	2	2	—	107	69	0.12
Loss on debt extinguishment	—	—	—	11	7	0.01
Adjustments related to acquisitions	(4)	(3)	—	—	—	—
Tax adjustment	—	3	0.01	—	—	—
Adjusted Earnings and adjusted EPS (non-GAAP) ⁽¹⁾	\$ 616	\$ 523	\$ 0.92	\$ 331	\$ 258	\$ 0.45

⁽¹⁾ Non-GAAP measure - see notes on page 24

ROIC versus WACC

LT ROIC Objective: 10%



⁽¹⁾ Non-GAAP measure - see notes on page 24

⁽²⁾ Adjusted for LIFO and specified items - see notes on page 24

⁽³⁾ Adjusted for LIFO - see notes on page 24

Return on Invested Capital

Adjusted ROIC Earnings⁽¹⁾

(Amounts in millions)

	Quarter Ended				Four Quarters Ended
	Dec. 31, 2017	Mar. 31, 2018	June 30, 2018	Sep. 30, 2018	Sep. 30, 2018
Net earnings attributable to ADM	\$ 788	\$ 393	\$ 566	\$ 536	\$ 2,283
Adjustments					
Interest expense	84	91	89	87	351
LIFO charge (credit)	2	(8)	(13)	7	(12)
Other adjustments	(303)	2	31	(20)	(290)
Total adjustments	(217)	85	107	74	49
Tax on adjustments	(55)	(24)	(26)	(21)	(126)
Net adjustments	(272)	61	81	53	(77)
Total Adjusted ROIC Earnings	\$ 516	\$ 454	\$ 647	\$ 589	\$ 2,206

Adjusted Invested Capital⁽¹⁾

(Amounts in millions)

	Quarter Ended				Trailing Four Quarter Average
	Dec. 31, 2017	Mar. 31, 2018	June 30, 2018	Sep. 30, 2018	
Equity ⁽²⁾	\$ 18,313	\$ 18,732	\$ 18,710	\$ 18,987	\$ 18,686
+ Interest-bearing liabilities ⁽³⁾	7,493	9,000	7,630	7,857	7,995
+ LIFO adjustment (net of tax)	46	49	39	44	45
+ Other adjustments (net of tax)	(326)	(2)	23	(18)	(81)
Total Adjusted Invested Capital	\$ 25,526	\$ 27,779	\$ 26,402	\$ 26,870	\$ 26,645

⁽¹⁾ Non-GAAP measure – see notes on page 24

⁽²⁾ Excludes noncontrolling interests

⁽³⁾ Includes short-term debt, current maturities of long-term debt, capital lease obligations, and long-term debt

Segment OP and Adjusted OP (a non-GAAP measure) Comparatives Introducing New Segments

		Qtr. Ended Mar. 31, 2017		Qtr. Ended Jun. 30, 2017		Qtr. Ended Sep. 30, 2017		Qtr. Ended Dec. 31, 2017		Year Ended Dec. 31, 2017			
		As Reported	Pro Forma	As Reported	Pro Forma	As Reported	Pro Forma	As Reported	Pro Forma	As Reported	Pro Forma		
(Amounts in millions)													
Segment Operating Profit ⁽¹⁾	Segment Operating Profit ⁽¹⁾	\$ 676	\$ 676	\$ 642	\$ 642	\$ 485	\$ 485	\$ 733	\$ 733	\$ 2,536	\$ 2,536		
Specified items:	Specified items:												
(Gains) losses on sales of assets/businesses	(Gains) losses on sales of assets/businesses	—	—	(8)	(8)	(12)	(12)	(2)	(2)	(22)	(22)		
Impairment, restructuring, and settlement charges	Impairment, restructuring, and settlement charges	9	9	26	26	63	63	62	62	160	160		
Hedge timing effects	Hedge timing effects	(7)	(7)	(2)	(2)	5	5	—	—	(4)	(4)		
Adjusted Segment Operating Profit ⁽¹⁾⁽²⁾	Adjusted Segment Operating Profit ⁽¹⁾⁽²⁾	\$ 678	\$ 678	\$ 658	\$ 658	\$ 541	\$ 541	\$ 793	\$ 793	\$ 2,670	\$ 2,670		
Agricultural Services	Origination	\$ 88	\$ 47	\$ 109	\$ 57	\$ 87	\$ 39	\$ 301	\$ 261	\$ 585	\$ 404		
Merchandising and handling	Merchandising and handling	19	23	40	46	20	25	221	224	300	318		
Transportation	Transportation	24	24	11	11	14	14	37	37	86	86		
Milling and other		45	—	58	—	53	—	43	—	199	—		
Oilseeds Processing	Oilseeds	\$ 314	\$ 313	\$ 206	\$ 198	\$ 119	\$ 113	\$ 202	\$ 201	\$ 841	\$ 825		
Crushing and origination	Crushing and origination	120	121	38	35	39	36	44	45	241	237		
Refining, packaging, biodiesel, and other	Refining, packaging, biodiesel, and other	59	57	83	78	66	61	64	63	272	259		
Asia	Asia	135	135	85	85	14	16	94	93	328	329		
Corn Processing	Carbohydrate Solutions	\$ 171	\$ 211	\$ 224	\$ 282	\$ 253	\$ 300	\$ 261	\$ 285	\$ 909	\$ 1,078		
Sweeteners and starches	Starches and sweeteners	161	201	198	253	202	251	185	225	746	930		
Bioproducts	Bioproducts	10	10	26	29	51	49	76	60	163	148		
Wild Flavors and Specialty Ingredients	Nutrition	\$ 75	\$ 77	\$ 92	\$ 94	\$ 61	\$ 68	\$ 56	\$ 73	\$ 284	\$ 312		
Wild Flavors and Specialty Ingredients	Wild Flavors and Specialty Ingredients	75	73	92	91	61	59	56	56	284	279		
	Animal Nutrition	—	4	—	3	—	9	—	17	—	33		
Other	Other	\$ 30	\$ 30	\$ 27	\$ 27	\$ 21	\$ 21	\$ (27)	\$ (27)	\$ 51	\$ 51		

⁽¹⁾ Non-GAAP measure - see notes on page 24; ⁽²⁾ Adjusted segment operating profit equals total segment operating profit excluding specified items and timing effects.



Segment OP and Adjusted OP (a non-GAAP measure) as Currently Reported vs Previous Segments

		Quarter Ended September 30, 2018	
As Currently Reported	Pro Forma	As Currently Reported	Pro Forma
(In millions)			
Segment Operating Profit ⁽¹⁾	Segment Operating Profit ⁽¹⁾	\$ 881	\$ 881
Specified items:	Specified items:		
(Gains) losses on sales of assets/businesses	(Gains) losses on sales of assets/businesses	(21)	(21)
Impairment and restructuring charges	Impairment and restructuring charges	1	1
Adjusted Segment Operating Profit ⁽¹⁾⁽²⁾	Adjusted Segment Operating Profit ⁽¹⁾⁽²⁾	\$ 861	\$ 861
Origination	Agricultural Services	\$ 129	\$ 198
Merchandising and handling	Merchandising and handling	93	83
Transportation	Transportation	36	36
	Milling and other	—	79
Oilseeds	Oilseeds Processing	\$ 349	\$ 349
Crushing and origination	Crushing and origination	221	221
Refining, packaging, biodiesel, and other	Refining, packaging, biodiesel, and other	48	46
Asia	Asia	80	82
Carbohydrate Solutions	Corn Processing	\$ 288	\$ 208
Starches and sweeteners	Sweeteners and starches	245	174
Bioproducts	Bioproducts	43	34
Nutrition	Wild Flavors and Specialty Ingredients	\$ 67	\$ 78
Wild Flavors and Specialty Ingredients	Wild Flavors and Specialty Ingredients	80	78
Animal Nutrition		(13)	—
Other	Other	\$ 28	\$ 28

⁽¹⁾ Non-GAAP measure - see notes on page 24; ⁽²⁾ Adjusted segment operating profit equals total segment operating profit excluding specified items and timing effects.

Processed Volumes (by commodity)

Metric Tons Processed (000s)

	Calendar Year				
	2013	2014	2015	2016	2017
Oilseeds	31,768	32,208	33,817	33,788	34,733
Corn	23,688	23,668	23,126	22,273	22,700
	55,456	55,876	56,943	56,061	57,433

	CY16				CY17				CY18		
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
Oilseeds	8,281	8,468	8,388	8,651	8,818	8,519	8,265	9,131	9,047	9,075	9,181
Corn	5,742	5,087	5,794	5,650	5,619	5,765	5,467	5,849	5,591	5,518	5,599
	14,023	13,555	14,182	14,301	14,437	14,284	13,732	14,980	14,638	14,593	14,780

Notes: Non-GAAP Reconciliation

The Company uses certain “Non-GAAP” financial measures as defined by the Securities and Exchange Commission. These are measures of performance not defined by accounting principles generally accepted in the United States, and should be considered in addition to, not in lieu of, GAAP reported measures.

(1) **Adjusted net earnings and Adjusted earnings per share (EPS)**

Adjusted net earnings reflects ADM's reported net earnings after removal of the effect on net earnings of specified items as more fully described above. Adjusted EPS reflects ADM's fully diluted EPS after removal of the effect on EPS as reported of specified items as more fully described above. Management believes that Adjusted net earnings and Adjusted EPS are useful measures of ADM's performance because they provide investors additional information about ADM's operations allowing better evaluation of underlying business performance and better period-to-period comparability. These non-GAAP financial measures are not intended to replace or be alternatives to net earnings and EPS as reported, the most directly comparable GAAP financial measures, or any other measures of operating results under GAAP. Earnings amounts described above have been divided by the company's diluted shares outstanding for each respective period in order to arrive at an adjusted EPS amount for each specified item.

(2) **Segment operating profit and adjusted segment operating profit**

Segment operating profit is ADM's consolidated income from operations before income tax excluding corporate items. Adjusted segment operating profit, a non-GAAP measure, is segment operating profit excluding specified items and timing effects. Timing effects relate to hedge ineffectiveness and significant mark-to-market hedge timing effects. Management believes that segment operating profit and adjusted segment operating profit are useful measures of ADM's performance because they provide investors information about ADM's business unit performance excluding corporate overhead costs as well as specified items and significant timing effects. Segment operating profit and adjusted segment operating profit are not measures of consolidated operating results under U.S. GAAP and should not be considered alternatives to income before income taxes, the most directly comparable GAAP financial measure, or any other measure of consolidated operating results under U.S. GAAP.

(3) **Adjusted Return on Invested Capital (ROIC)**

Adjusted ROIC is Adjusted ROIC earnings divided by adjusted invested capital. Adjusted ROIC earnings is ADM's net earnings adjusted for the after tax effects of interest expense, changes in the LIFO reserve and other specified items. Adjusted invested capital is the sum of ADM's equity (excluding noncontrolling interests) and interest-bearing liabilities adjusted for the after tax effect of the LIFO reserve, and other specified items. Management believes Adjusted ROIC is a useful financial measure because it provides investors information about ADM's returns excluding the impacts of LIFO inventory reserves and other specified items and increases period-to-period comparability of underlying business performance. Management uses Adjusted ROIC to measure ADM's performance by comparing Adjusted ROIC to its weighted average cost of capital (WACC). Adjusted ROIC, Adjusted ROIC earnings and Adjusted invested capital are non-GAAP financial measures and are not intended to replace or be alternatives to GAAP financial measures.

(4) **Average ROIC**

Average ROIC is ADM's trailing 4-quarter net earnings adjusted for the after-tax effects of interest expense and changes in the LIFO reserve divided by the sum of ADM's equity (excluding non-controlling interests) and interest-bearing liabilities adjusted for the after-tax effect of the LIFO reserve. Management uses average ROIC for investors as additional information about ADM's returns. Average ROIC is a non-GAAP financial measure and is not intended to replace or be an alternative to GAAP financial measures.

(5) **Adjusted Economic Value Added**

Adjusted economic value added is ADM's trailing 4-quarter economic value added adjusted for LIFO and other specified items. The Company calculates economic value added by comparing ADM's trailing 4-quarter adjusted returns to its Annual WACC multiplied by adjusted invested capital. Adjusted economic value added is a non-GAAP financial measure and is not intended to replace or be an alternative to GAAP financial measures.